


Exam 2 on Friday!

- Bring a calculator!
- around 10-12 questions, some with a few parts
 - a couple short answer questions at start
 - then the rest are step-by-step data analysis for a given data set (very similar format to Exam 1)

Equations to know:

• R^2 and R^2_{adj}

• VIF $\leftrightarrow R^2$

• t statistic $\leftarrow$

$$t = \frac{\hat{\beta}_j - (\text{value under } H_0)}{SE \hat{\beta}_j}$$

• F statistic $\leftarrow$

$$\frac{(SSE_{\text{reduced}} - SSE_{\text{full}}) / (P_{\text{full}} - P_{\text{reduced}})}{\frac{1}{n - P_{\text{full}}} SSE_{\text{full}}}$$

• Fill in ANOVA table

• SSE , SST_{total} , SS_{Model}

$$\sum_{i=1}^n (y_i - \hat{y}_i)^2 \quad \downarrow \quad \sum_{i=1}^n (y_i - \bar{y})^2 \quad \rightarrow \quad \sum_{i=1}^n (\hat{y}_i - \bar{y})^2$$

Q 18 on review

$$F = \frac{(SSE_{\text{reduced}} - SSE_{\text{full}}) / (P_{\text{full}} - P_{\text{reduced}})}{SSE_{\text{full}} / (n - P_{\text{full}})}$$

$$n = 100$$

full model: $\beta_0 + \beta_1 \text{mass} + \beta_2 \text{lsShip} + \beta_3 \text{mass} \cdot \text{lsShip} + \varepsilon$

$$P_{\text{full}} = 4 \Rightarrow n - P_{\text{full}} = 96$$

reduced model; $H_0: \beta_2, \beta_3 = 0$ H_A : at least one of $\beta_2, \beta_3 \neq 0$

$$\Rightarrow \beta_0 + \beta_1 \text{mass} + \varepsilon$$

$$P_{\text{reduced}} = 2 \Rightarrow P_{\text{full}} - P_{\text{reduced}} = 2$$

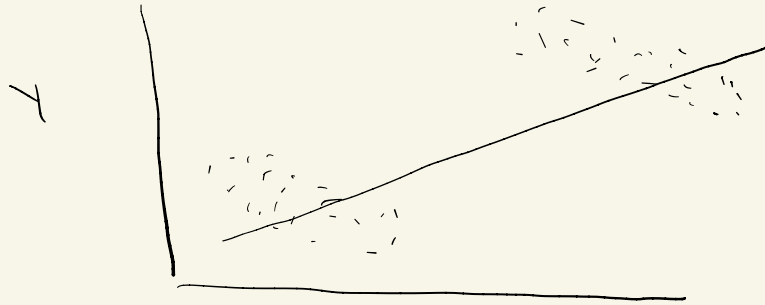
SSE_{full} : "residuals" "Sum Sq" of anova output
26192

SSE_{reduced}

$$F = \frac{163817}{(163817 - 26192) / 2} = 252.2$$
$$26192 / 96$$

Simpson's paradox

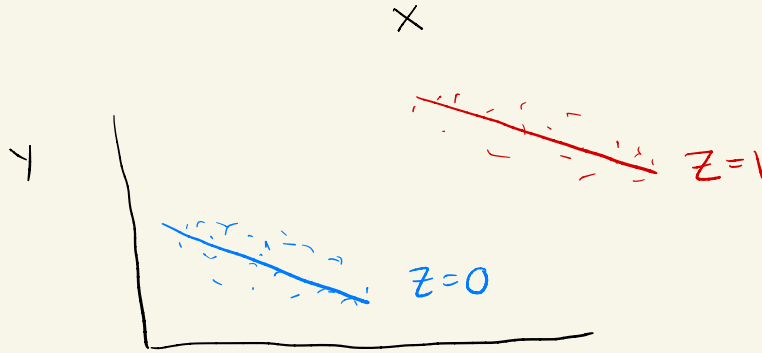
observed relationship changes when we look inside groups



just looking at $X \text{ \& } Y$:

appears to be a positive relationship between $X \text{ \& } Y$

$$Y = \beta_0 + \beta_1 X + \varepsilon$$



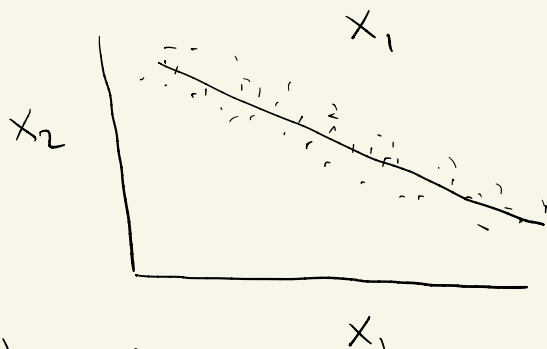
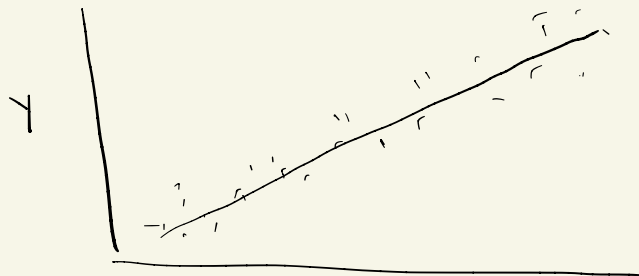
once we account for group variable Z , negative relationship between $X \text{ \& } Y$

$$Y = \beta_0 + \beta_1 X + \beta_2 Z + \varepsilon$$

$$Y = \beta_0 + \beta_1 X + \beta_2 Z + \beta_3 X \cdot Z + \varepsilon$$

(This happens because Z is also related to both $X \text{ \& } Y$
 $Z=1 \rightarrow$ higher X , higher Y)

VIFs



Multicollinearity also increases variability of $\hat{\beta}_1$ & $\hat{\beta}_2$

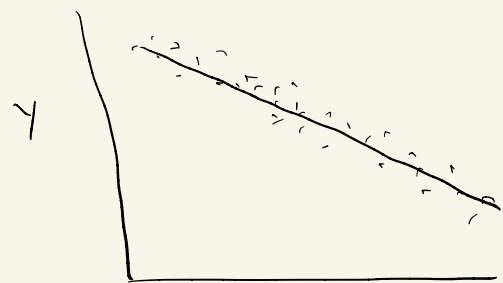
VIF: how much does variability increase?

$$VIF(X_i) = \frac{\text{Variance}(\hat{\beta}_i) \text{ when } X_1, X_2 \text{ in model}}{\text{Variance}(\hat{\beta}_i) \text{ when only } X_i \text{ in model}}$$

$$= \frac{1}{1 - R^2(X_i)}$$

$R^2(X_i)$ = R^2 for predicting X_i from X_2

X_1, X_2, Y want to predict Y



X_2

Causes problems for fitting model

$$Y = \beta_0 + \beta_1 X_1 + \beta_2 X_2 + \epsilon$$

Interpretation: β_2 : a one-unit increase in X_2 is associated w/ an average change of β_2 in Y , holding X_1 fixed

problem when X_1, X_2 are closely related b/c can't fix one & change the other

$$Y = \beta_0 + \beta_1 x_1 + \beta_2 x_2 + \beta_3 x_3 + \beta_4 x_4 + \beta_5 x_5 + \varepsilon$$

S different VIFs:

$$VIF_1 = \frac{1}{1 - R^2(x_1)}$$

R^2 for predicting x_1 from $x_2, \dots, x_5$
e.g. $x_1 = \alpha_0 + \alpha_1 x_2 + \alpha_2 x_3 + \dots + \alpha_4 x_5 + \varepsilon$

$$VIF_2 = \frac{1}{1 - R^2(x_2)}$$

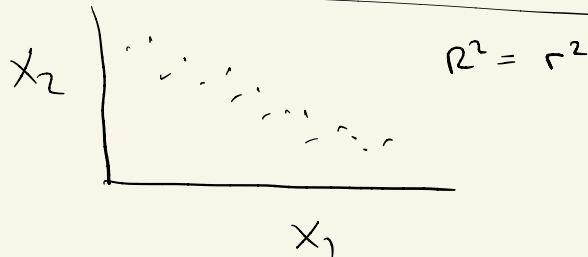
R^2 for predicting x_2 from x_1, x_3, x_4, x_5

$$\Rightarrow 1 - R^2(x_2) = \frac{1}{VIF_2} = 1 - \frac{1}{VIF_2} = R^2(x_2)$$

$$Y = \beta_0 + \beta_1 x_1 + \beta_2 x_2 + \varepsilon$$

$$VIF_1 = \frac{1}{1 - R^2(x_1)}$$

$$VIF_2 = \frac{1}{1 - R^2(x_2)}$$



F & t distributions

t test:

$$t = \frac{\hat{\beta}_j - (\text{value under null})}{SE\hat{\beta}_j}$$

e.g.

$$H_0: \beta_j = 0$$

$$t = \frac{\hat{\beta}_j}{SE\hat{\beta}_j}$$

numerator
of

F statistic:

$$F = \frac{(SSE_{\text{reduced}} - SSE_{\text{full}}) / (P_{\text{full}} - P_{\text{reduced}})}{SSE_{\text{full}} / (n - P_{\text{full}})}$$

ratio of (sums of) squared things
denominator of

$$t^2 = \frac{\hat{\beta}_j^2}{(SE\hat{\beta}_j)^2} = \frac{\hat{\beta}_j^2}{\text{Var}(\hat{\beta}_j)}$$

= ratio of squared things

Turns out:

$t^2 \sim F$ distribution

$$t \sim t_{n-p} \quad \text{then} \quad t^2 \sim F_{1, n-p}$$

F distribution is parameterized by two sets of degrees of freedom (numerator & denominator)

ANOVA Table (a single categorical explanatory variable)

$p = 3$ want to test: $H_0: \beta_1, \beta_2 = 0$ (no relationship between species & bill length)

H_A : at least one of $\beta_1, \beta_2 \neq 0$ (some relationship between species & bill length, i.e. some difference in avg. bill length between species)

$$F = \frac{MS_{Model}}{MSE} = \frac{SS_{Model} / (p-1)}{SSE / (n-p)}$$

$n = \# \text{ obs}$ $p = \# \text{ parameters in model}$

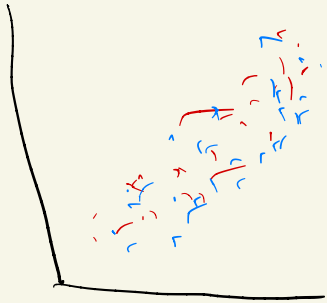
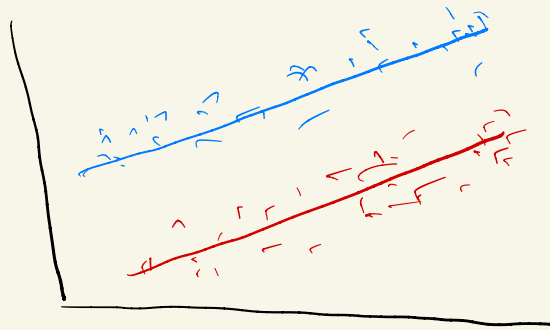
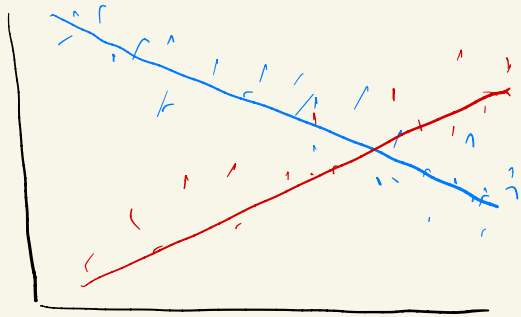
Table	Model	df	SS	MS	F
		p-1	SS _{Model}	MS _{Model}	MS _{Model} / MSE
	Residuals	n-p	SSE	MSE	
	Total	n-1	SSTotal		

$$SSTotal = SS_{Model} + SSE \quad MS_{Model} = \frac{SS_{Model}}{p-1} \quad MSE = \frac{SSE}{n-p}$$

- Start by fill in df (from description of data, model (cant # of parameters))
- I will give you two out of: SS_{Model} , SSE , MS_{Model} , MSE , F
Then fill in rest ($SSTotal$)

mass, oxygen, noise

oxygen



mass

$$\text{oxygen} = \beta_0 + \beta_1 \text{mass} + \epsilon$$

$$\text{oxygen} = \beta_0 + \beta_1 \text{mass} + \beta_2 \text{lsShip} + \epsilon$$

$$\text{oxygen} = \beta_0 + \beta_1 \text{mass} + \beta_2 \text{lsShip} + \beta_3 \text{mass} \cdot \text{lsShip} + \epsilon$$

(no difference
in slope or
intercept by
noise)